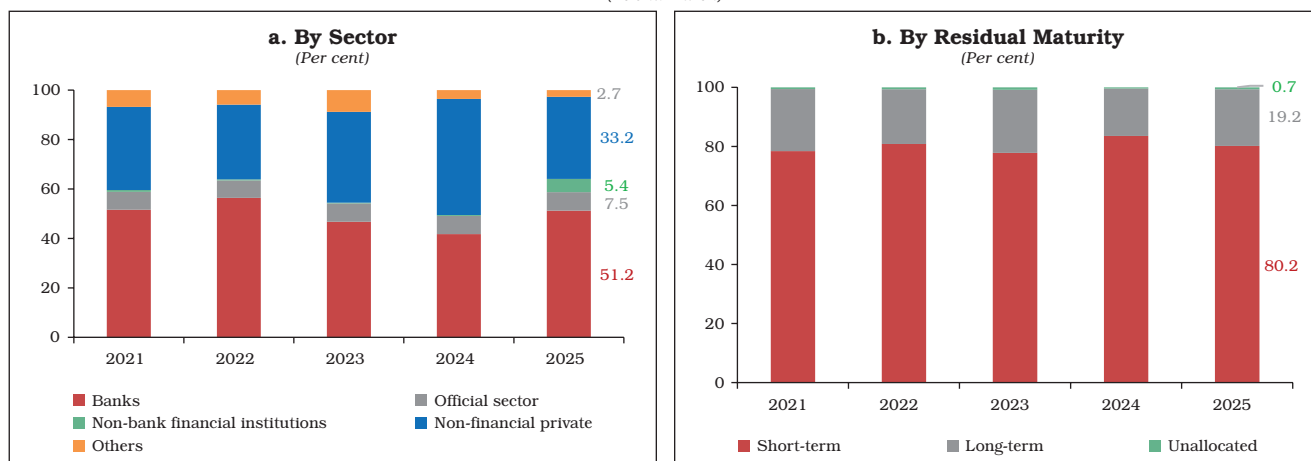


Chart IV.10: Consolidated International Claims of Indian Banks

(At end-March)



Note: Short-term and long-term claims are defined as claims having residual maturity up to one year and over one year, respectively.

Sources: International Banking Statistics and Database on Indian Economy, RBI.

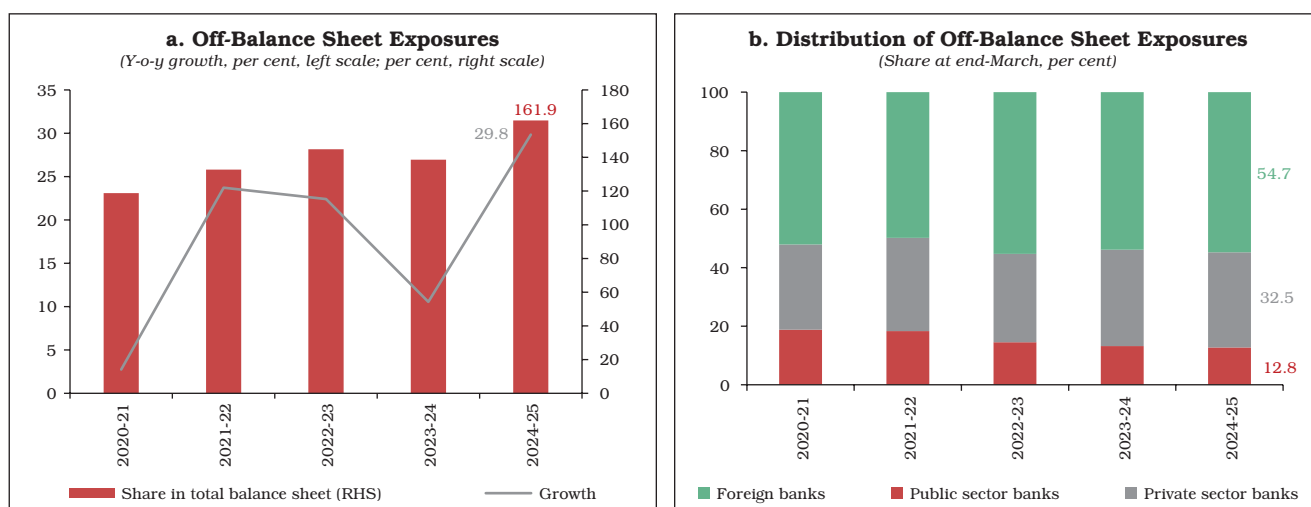
balance sheet exposure of SCBs, as a proportion of their balance sheet size, increased to 161.9 per cent at end-March 2025 from 138.6 per cent at end-March 2024 (Chart IV.11a and Appendix Table IV.6). Foreign banks accounted for more than half of the total off-balance sheet exposures of SCBs. The share of PVBs in contingent liabilities of the banking sector increased from 29.1 per cent at end-March 2021 to 32.5 per cent at end-March 2025, while that of PSBs fell

from 18.8 per cent to 12.8 per cent at end-March 2025 (Chart IV.11b).

3. Financial Performance

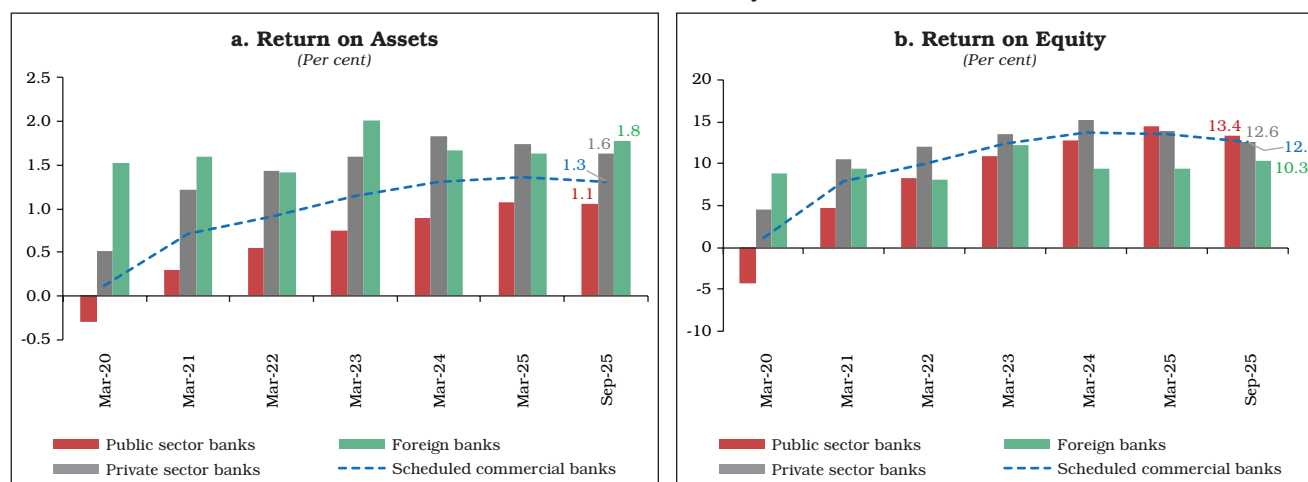
IV.19 Profitability of SCBs remained robust, with return on assets (RoA) increasing further to 1.4 per cent in 2024-25 from 1.3 per cent in the previous year. The return on equity (RoE) of SCBs at 13.5 per cent remained broadly stable. PSBs exhibited an improvement

Chart IV.11: Off-Balance Sheet Liabilities of Banks



Source: Annual accounts of banks.

Chart IV.12: Profitability Ratios



Note: Data for SCBs exclude RRBs.

Source: Off-site returns (domestic operations), RBI.

in RoA and RoE during 2024-25, while PVBs recorded a moderation. During H1: 2025-26, RoA and RoE of SCBs stood at 1.3 per cent and 12.5 per cent, respectively (Charts IV.12a and b).

IV.20 Net profits of SCBs increased during 2024-25, *albeit* at a slower pace compared to the previous year. This partly reflected the impact of moderation in growth of net interest income. Growth in operating expenses decelerated

Table IV.3: Trends in Income and Expenditure of Scheduled Commercial Banks

Item	(Amount in ₹ crore)											
	PSBs		PVBs		FBs		SFBs		PBs		SCBs	
	2023-24	2024-25	2023-24	2024-25	2023-24	2024-25	2023-24	2024-25	2023-24	2024-25	2023-24	2024-25
1	2	3	4	5	6	7	8	9	10	11	12	13
A. Income	12,12,665 (24.8)	13,65,244 (12.6)	9,41,870 (36.4)	10,70,709 (13.7)	1,29,838 (20.1)	1,46,580 (12.9)	45,400 (34.3)	54,223 (19.4)	7,102 (19.0)	6,937 (-2.3)	23,36,876 (29.1)	26,43,694 (13.1)
i) Interest Income	10,66,243 (25.3)	11,89,294 (11.5)	7,96,578 (36.8)	9,10,560 (14.3)	1,06,045 (27.3)	1,20,478 (13.6)	39,647 (33.0)	46,782 (18.0)	1,416 (64.6)	1,694 (19.7)	20,09,929 (29.9)	22,68,809 (12.9)
ii) Other Income	1,46,422 (21.7)	1,75,951 (20.2)	1,45,292 (34.2)	1,60,149 (10.2)	23,794 (-4.1)	26,101 (9.7)	5,753 (43.8)	7,441 (29.3)	5,686 (11.4)	5,243 (-7.8)	3,26,946 (24.6)	3,74,885 (14.7)
B. Expenditure	10,71,463 (23.6)	11,86,881 (10.8)	7,66,573 (35.3)	8,81,498 (15.0)	1,02,953 (32.0)	1,16,665 (13.3)	39,181 (32.2)	50,727 (29.5)	7,103 (21.5)	6,743 (-5.1)	19,87,273 (28.5)	22,42,514 (12.8)
i) Interest Expended	6,58,611 (35.0)	7,60,165 (15.4)	4,29,739 (56.0)	5,08,877 (18.4)	46,996 (48.4)	55,866 (18.9)	17,474 (43.9)	22,336 (27.8)	353 (43.8)	537 (52.2)	11,53,173 (42.9)	13,47,782 (16.9)
ii) Operating Expenses	2,95,090 (20.9)	3,03,100 (2.7)	2,39,146 (18.1)	2,61,471 (9.3)	34,713 (24.2)	38,708 (11.5)	17,186 (30.7)	20,247 (17.8)	6,634 (18.9)	6,070 (-8.5)	5,92,769 (20.2)	6,29,596 (6.2)
of which: Wage Bill	1,84,025 (27.2)	1,77,894 (-3.3)	90,290 (27.9)	98,841 (9.5)	10,460 (3.9)	11,211 (7.2)	8,498 (26.8)	10,321 (21.4)	1,215 (32.9)	977 (-19.5)	2,94,488 (26.4)	2,99,244 (1.6)
iii) Provision and Contingencies	1,17,761 (-12.8)	1,23,615 (5.0)	97,688 (10.5)	1,11,150 (13.8)	21,244 (15.8)	22,092 (4.0)	4,521 (3.8)	8,144 (80.1)	116 (488.4)	135 (16.9)	2,41,331 (-2.0)	2,65,137 (9.9)
C. Operating Profit	2,58,964 (8.1)	3,01,979 (16.6)	2,72,986 (28.4)	3,00,362 (10.0)	48,130 (-0.8)	52,006 (8.1)	10,740 (26.1)	11,640 (8.4)	114 (-18.9)	330 (187.9)	5,90,934 (16.0)	6,66,316 (12.8)
D. Net Profit	1,41,202 (34.9)	1,78,364 (26.3)	1,75,297 (41.2)	1,89,211 (7.9)	26,886 (-10.8)	29,915 (11.3)	6,219 (49.4)	3,496 (-43.8)	-1 (-)	194 (-)	3,49,603 (32.8)	4,01,180 (14.8)
E. Net Interest Income (NII) (Ai-Bi)	4,07,632 (12.2)	4,29,128 (5.3)	3,66,839 (19.5)	4,01,683 (9.5)	59,049 (14.4)	64,612 (9.4)	22,173 (25.5)	24,446 (10.3)	1,063 (72.9)	1,157 (8.9)	8,56,756 (15.7)	9,21,027 (7.5)
F. Net Interest Margin (NIM)	2.8	2.6	3.9	3.6	3.6	3.4	7.4	6.6	4.5	3.8	3.3	3.1

:- Not applicable.

Notes: 1. Data for SCBs exclude RRBs.

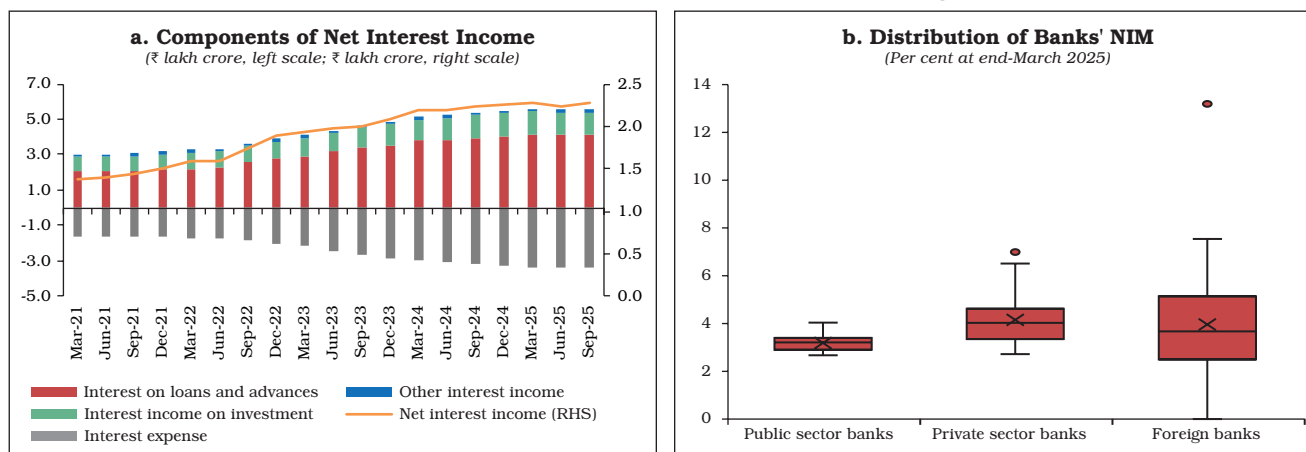
2. NIM has been defined as NII as percentage of average assets.

3. Figures in parentheses refer to per cent variation over the previous year.

4. Percentage variations could be slightly different as absolute numbers have been rounded off to ₹ crore.

Source: Annual accounts of respective banks.

Chart IV.13: Net Interest Income and Net Interest Margin



significantly, while provisions and contingencies expenditure increased during 2024-25 as against a decline in the previous year (Table IV.3).

IV.21 The interest expense to interest income ratio of SCBs increased to 59.4 per cent in 2024-25 from 57.4 per cent in the previous year (Table IV.3 and Chart IV.13a). The net interest margin (NIM) of SCBs moderated to 3.1 per cent in 2024-25 from 3.3 per cent in the previous year. The median NIM remained highest for

PVBs, followed by that of FBs and PSBs. PSBs exhibited relatively uniform NIMs with limited cross-bank variation, whereas FBs displayed highest dispersion in their NIMs followed by PVBs (Chart IV.13b).

IV.22 The provision coverage ratio (PCR) (not adjusted for write-offs) of SCBs remained stable at 76.3 per cent at end-March 2025. During 2024-25, the PCR of PSBs increased to 78.5 per cent, while for PVBs it moderated to 72.6

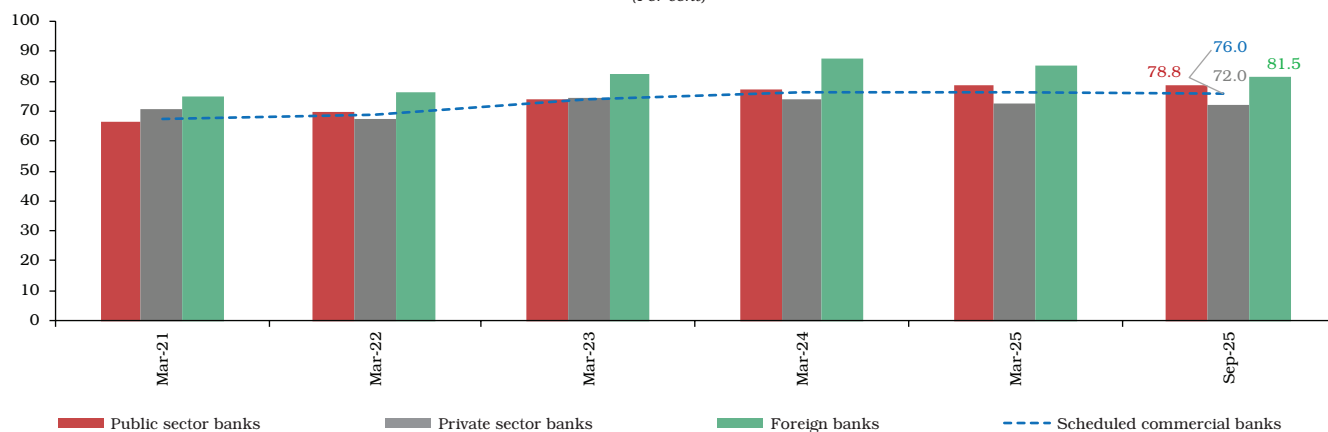
Chart IV.14: Provision Coverage Ratio
(Per cent)

Table IV.4: Cost of Funds and Return on Funds – Bank Group-wise

(Per cent)

Bank Group	Year	Cost of Deposits	Cost of Borrowings	Cost of Funds	Return on Advances	Return on Investments	Return on Funds	Spread (columns 8-5)
1	2	3	4	5	6	7	8	9
PSBs	2023-24	4.8	7.3	5.0	8.5	6.7	8.0	3.0
	2024-25	5.0	7.3	5.2	8.5	6.8	8.0	2.8
PVBs	2023-24	4.8	9.2	5.4	10.4	6.8	9.5	4.1
	2024-25	5.1	8.2	5.5	10.0	6.8	9.2	3.7
FBs	2023-24	3.8	5.6	4.1	8.7	6.8	7.6	3.5
	2024-25	4.0	5.1	4.2	8.5	6.7	7.4	3.2
SFBs	2023-24	6.8	8.2	7.0	17.0	6.8	14.5	7.5
	2024-25	7.1	8.1	7.2	16.2	6.8	13.9	6.7
PBs	2023-24	2.0	11.2	2.4	10.0	7.6	7.6	5.2
	2024-25	1.9	11.7	2.4	9.1	6.7	6.7	4.3
SCBs	2023-24	4.8	8.1	5.1	9.4	6.7	8.6	3.5
	2024-25	5.0	7.5	5.3	9.2	6.8	8.5	3.2

Notes: 1. Data for SCBs excludes RRBs.

2. Cost of deposits = Interest paid on deposits/(Average of current and previous year's deposits).

3. Cost of borrowings = (Interest expended - Interest on deposits) / (Average of current and previous year's borrowings).

4. Cost of funds = Interest expended / (Average of current and previous year's deposits plus borrowings)

5. Return on advances = Interest earned on advances / (Average of current and previous year's advances).

6. Return on investments = Interest earned on investments / (Average of current and previous year's investments).

7. Return on funds = (Interest earned on advances + Interest earned on investments) / (Average of current and previous year's advances plus investments).

Sources: Annual accounts of banks and RBI staff calculations.

per cent. At end-September 2025, PCR of SCBs stood at 76.0 per cent (Chart IV.14).

IV.23 During 2024-25, a moderation in the return on funds alongside an increase in the cost of funds resulted in narrowing of spread for SCBs. SFBs continued to record the widest spread, reflecting relatively higher interest rates on their advances (Table IV.4).

4. Soundness Indicators

4.1 Capital Adequacy

IV.24 In India, the minimum regulatory capital to risk-weighted assets ratio (CRAR) requirement for banks is set at 9.0 per cent [11.5 per cent inclusive of capital conservation buffer (CCB)] and Tier 1 capital ratio requirement at 7.0 per cent, both one percentage point above the Basel III norms.⁸ At end-March 2025, all bank groups

remained well-capitalised, with CRAR and Tier 1 capital ratio remaining well above the minimum regulatory requirements. The CRAR of SCBs rose to 17.4 per cent at end-March 2025, with an increase witnessed across PSBs and PVBs. The Tier 1 capital ratio of SCBs also improved to 15.5 per cent at end-March 2025 led by an improvement in PSBs and PVBs (Table IV.5). The CRAR of SCBs stood at 17.2 per cent at end-September 2025.

IV.25 A wider dispersion in CRAR and common equity tier 1 (CET1) ratios was observed in case of PVBs as compared to PSBs in 2024-25. The mean as well as the median CRAR and CET1 ratio, of both PSBs and PVBs, recorded an increase during the year (Charts IV.15 a and b).

⁸ The minimum regulatory CRAR requirement for SFBs is set at 15.0 per cent with Tier 1 capital requirement of at least 7.5 per cent of the total risk-weighted assets.

Table IV.5: Component-wise Capital Adequacy of SCBs
(At end-March)

(Amount in ₹ crore)

1	PSBs		PVBs		FBs		SFBs		SCBs	
	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025
1	2	3	4	5	6	7	8	9	10	11
1. Capital Funds	11,74,245	13,55,864	12,83,455	14,64,071	2,70,646	3,11,060	41,603	47,390	27,69,949	31,78,386
i) Tier 1 Capital	9,94,510	11,66,550	11,55,051	13,42,472	2,43,842	2,82,833	37,330	41,475	24,30,733	28,33,330
ii) Tier 2 Capital	1,79,735	1,89,314	1,28,404	1,21,599	26,804	28,227	4,273	5,915	3,39,216	3,45,056
2. Risk Weighted Assets	75,59,396	84,23,011	72,14,513	80,03,960	14,18,639	16,57,665	1,92,331	2,20,390	1,63,84,879	1,83,05,026
3. CRAR (1 as % of 2)	15.5	16.1	17.8	18.3	19.1	18.8	21.6	21.5	16.9	17.4
Of which: Tier 1	13.2	13.8	16.0	16.8	17.2	17.1	19.4	18.8	14.8	15.5
Tier 2	2.4	2.2	1.8	1.5	1.9	1.7	2.2	2.7	2.1	1.9

Notes: 1. Data for SCBs exclude RRBs and PBs.

2. Figures in per cent might not add up to the total due to rounding off of numbers.

Source: Off-site returns, RBI.

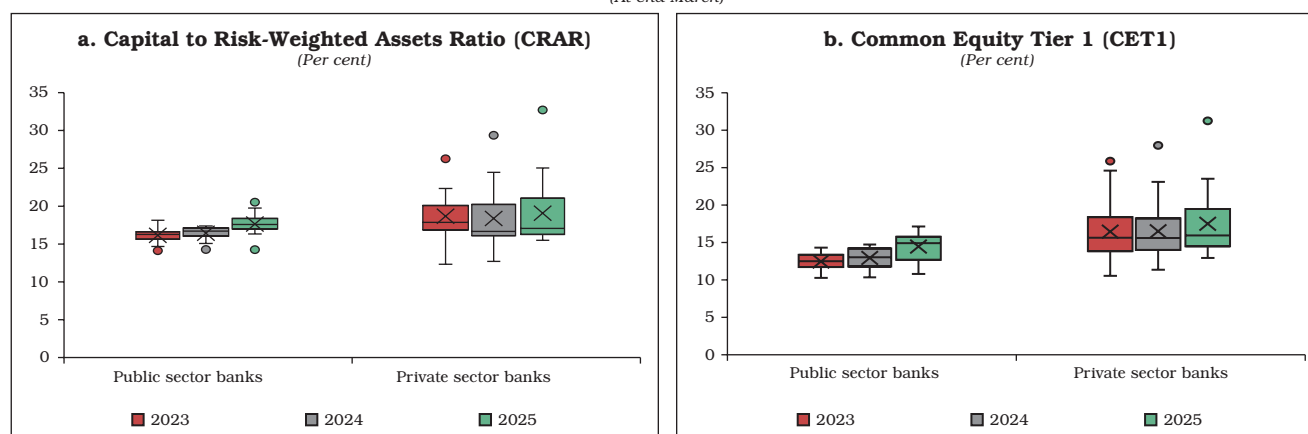
IV.26 Resources raised by banks through private placement of debt, qualified institutional placement, and preferential allotment of equity in the capital market increased during 2024-25. The increase was largely driven by PSBs which recorded a growth of 36.6 per cent in total amount raised through private placements, mostly through debt instruments (Table IV.6).

4.2 Leverage and Liquidity

IV.27 The leverage ratio is a non-risk based backstop measure complementing the Basel III risk-based capital framework. In India, the minimum leverage ratio requirement is 4.0 per

cent for domestic systemically important banks and 3.5 per cent for other SCBs. The leverage ratio — the ratio of Tier 1 capital to total exposures — of SCBs' increased to 8.0 per cent at end-March 2025, with an improvement across PSBs and PVBs. The liquidity coverage ratio (LCR) — designed to withstand liquidity pressures in the short-term — requires banks to maintain high quality liquid assets to meet 30 days' net outgo under stressed conditions. For SCBs, the LCR improved to 132.6 per cent at end-March 2025. It remained well above the regulatory requirement of 100 per cent for all bank groups (Table IV.7).

Chart: IV.15: Bank Group-wise CRAR and CET1 Ratio
(At end-March)



Note: The whiskers of the boxplots are indicative of maximum and minimum values. A colored box shows distance between first quartile and third quartile. Horizontal line in each box shows the median, while 'X' shows the mean.

Source: Off-site returns, RBI.